

Running the Right Numbers

An Introduction to Operational Model Mapping

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**Tomorrow's Markets
Incubator**

The operational model

An operational model map – or “ops map” for short – is a visual representation of how an at-scale venture fulfills three core business flows critical to every business’s functioning:

- the flow of product from the venture down to end users;
- the flow of information between the venture and end user;
- the flow of money from the end user back to the venture.

Ops maps show who does what and where in relation to venture’s core business flows. They are distinct from business model canvases and value chains in two critical ways:

1. Ops maps illustrate the **actual movement of goods, information, and money** among actors and entities, and the places (physical or virtual) or platforms where those transactions and flows occur
2. Ops models are **unitized**—that is, they break a venture down into its underlying operating units, starting with the last-mile operating unit serving the end user and working backwards to the venture’s head office operating unit.

The above qualities make ops maps particularly valuable for start-ups and early-stage ventures, as they force a rigorous discussion about *how* key business flows are managed and executed, and surface assumptions

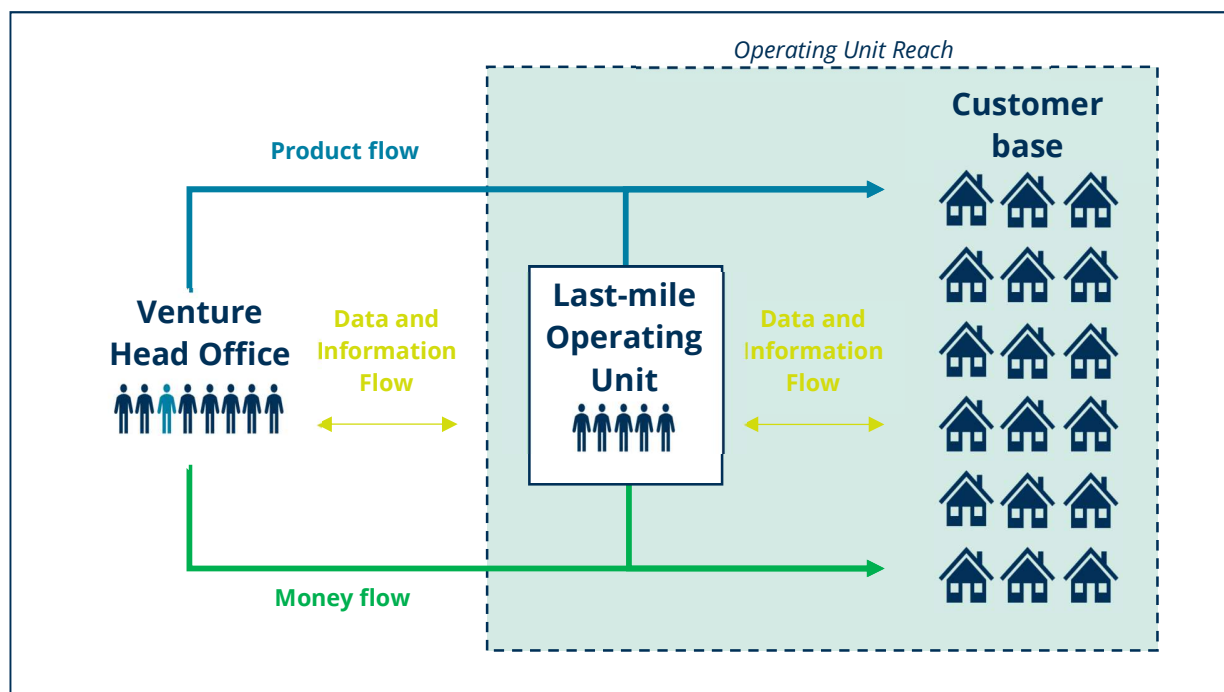


Figure 1: The basic layout of an Operational Model Map

about the human resources, infrastructure, suppliers, and partners necessary. The unitized structure brings clarity to what needs to be pilot tested and eventually replicated when a venture scales, as operating units are the fundamental building block of a venture. Working backwards from the last-mile operating unit also ensures rigor in assumptions about the downstream half of the business ecosystem – an important factor in situations where the venture’s customers are actors further up the value chain, such as distributors, or other businesses that incorporate the venture’s product as part of their offering.

For these reasons, ops maps are effective inputs for creating compelling and easy-to-grasp visuals about the venture’s operations and growth trajectory that can be used in pitches to internal or external funders and to potential partners.

Building an ops map is a four-step process:

- **Step 1:** List out on individual post-it notes the key People and Places involved in the production, delivery, and sale of the offering.
- **Step 2:** List out on individual post-it notes the three business flows:
 - a. the Product components going to the end-user
 - b. critical Information moving among People and Places
 - c. the Money transactions taking place among People and Places.
- **Step 3:** Lay out the People and Places starting with the venture head office and terminating with the end user, and draw the flow of Product, Information, and Money among them.
- **Step 4:** Determine the range of business activities and HR needed at steady state to support the flows.

Operational Model Mapping

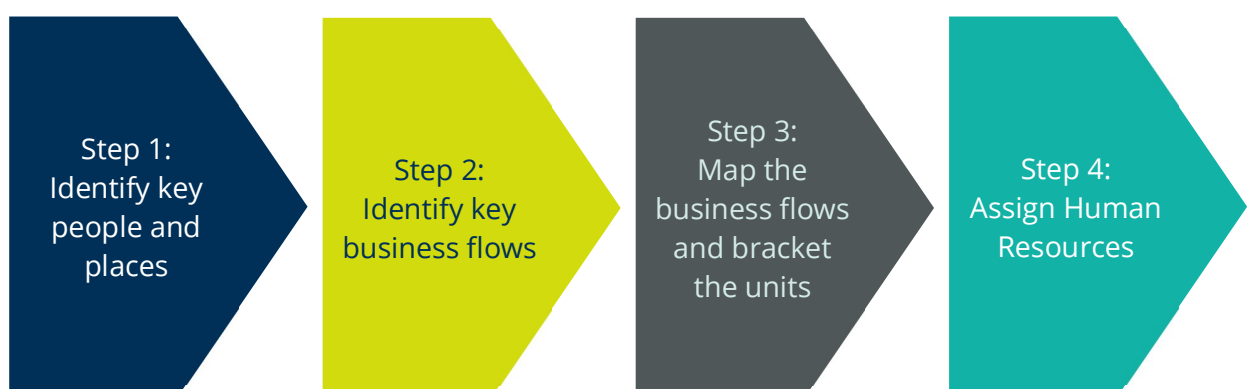


Figure 2: The four steps for building operational model maps

The Science – and Art – of Operating Units

As noted above, ops maps are unique in that they deconstruct ventures down into their constituent operating units. Operating units are levels of business operations inside a scaled venture, where each level higher up takes on a broader set of responsibilities and business operations that enable and support the activities of levels below it. Operating units can be envisioned as stand-alone “profit and loss” (P&L) centers, though the actual accounting of their costs and the value that they create depends on how a venture is structured.

Much like an organizational chart, a venture’s operating units are structured hierarchically. As you would expect, the higher up the level, the fewer the number of operating units there will be at that level, and the more the focus will be on strategic issues and overall coordination of the venture. The lower the level, the greater the number of operating units there will be at that level, and the more the focus turns to selling products.

The highest operating unit level is the head office, of which there is only one in a venture. The head office operating unit supports all other levels of the

venture, directing the growth and replication of new territories and last mile operating units, ensuring a consistent brand and continual improvement in the product offering, sharing best practices, and capturing scale economies.

At the other end of the spectrum are last-mile operating units. Last-mile operating units are the smallest, self-sustaining entity with responsibility for sales and service in a defined territory (or, in the case of purely digital offerings, for a defined customer segment). In a venture like McDonalds, in which an individual restaurant acts as the last-mile operating unit, there are thousands of last mile operating units globally.

In between the corporate head office and the last mile operating unit are other levels of operating units whose responsibilities combine the strategic coordination role of the head office and the sales responsibility of last mile operating units. The different levels required depend on the nature of the industry and the size and complexity of the venture.

Pure digital ventures like Facebook and Google will require far fewer levels and numbers of operating units compared with bricks-and-mortar ventures

A venture’s operating units are structured hierarchically

reaching down to end-consumers. Global ventures will have more levels than single-country ventures. Generally speaking, though, last mile operating units will be embedded inside larger territory units serving a region, which then sit inside country-level operating units (sometimes called “business units” in global corporations).

While the concept of operating units has a ring of objectivity, the decision of where to mark off an operating unit is, in practice, subject to interpretation and utility. This is particularly the case with new ventures serving new markets, where the venture has to consider the entire business ecosystem needed to get a product to the end user.

So while a micro-entrepreneur being paid a sales commission is theoretically a “self-sustaining entity serving a defined territory,” it may make more sense to treat a sales office supporting an area with twenty micro-entrepreneurs as the operating unit, as it performs a more complete range of business activities and is, therefore, more easily treated as the focal entity.

On the other hand, while a territory manager supported by a merchandiser and data entry person may all be physically located in a head office

operating unit, visually breaking out a separate territory unit may better capture the scalability of the venture and highlight the incremental resourcing required for expansion. Ventures that have fully digital offerings or have a strong online component to their product present additional uncertainty, as there are often no clear last-mile operating units. In some cases, the entire venture can and should be modeled as a single head office housing all operations.

An ops map communicates the underlying structure of a venture and how it would grow and replicate

In the end, the goal of ops maps is to map a venture in the way that most easily permits analysis of the full suite of activities needed to

support all business flows, and most effectively—and simply—communicates the underlying structure of a venture and how it would grow and replicate.

Iterating, Evolving, and Learning

While there is a sequence to building an ops model, it is important to keep in mind that the process is quite iterative. Typically, questions and new insights about the business model are surfaced as the ops model is being laid out, leading to the redrawing of flows, to new People and Places being identified, and to the identification of new Product components, Information exchanges, and Money transactions.

In some cases, questions may be raised without clear answers. This is particularly true with early stage ventures and the very reason why ops maps are useful tools in designing business models. Recognizing this, it is a useful practice to have an additional flip chart for keeping track of questions to be further investigated, or key assumptions that require additional validation.

Operational Model Mapping

Step 1:
Identify key
people and
places

Ops maps show who does what and where in terms of a venture's key business flows. **Step 1** of the process—identify key People and Places—focuses on the

“who” and the “where” of this equation. Step 1 consists of creating color-coded post-it notes of key People and Places involved in the flows. As noted earlier, be sure to use a different color post-it note for People and Places. Each post-it should name only one type of person/actor or one place.

People

In my experience, it is easiest to start with People—the key actors involved in

At this point, it's only necessary to think about the people on the

customer side

the core flows. While actors sit on both the supply-side and the customer-side of the equation, at this point it's only necessary to think about the customer side. Key actors from the venture's value chain partners will be surfaced in step 3, while the venture's own human resources will be considered in step 4, once there is clarity about the kinds of activities needing to be performed in support of the core flows.

Customer-side stakeholders fall into one of three groups:

1. **Customers:** the people who pay for the product
2. **Users:** people who use the product
3. **Enablers:** people whose buy-in or support is required either by the customer or the user.

People

Customers

Users

Enablers

With some ventures – such as a maker of mobile phones – the customer and user may be one and the same, and there may no significant enablers. In other cases, a venture may have to consider all three. In the education industry, for example, a product is often purchased by the school principal, used in the classroom by

students and teachers, used at home by the student, and require a parent to give the child/student his or her mobile phone to access an online platform.

Consider each of these three types of customer-side stakeholders as they relate to your venture. Write each stakeholder's name on a sticky note and set to the side.

Key Places

Places are spaces or institutional sites involved in the **making**, **selling**, **marketing**, or **using** of a product. Spaces are general areas, like "the home," whereas institutional sites are organizational areas, like "school classroom" and "company offices." Places can be physical or virtual. In some cases, the same place may be involved in more than one of the activities—in other words, a customer may use a product in their home, and listen to a radio ad about the product in their home.

The goal is to identify the *key places* impacting how a venture manages its key business flows.

So if products are warehoused in a separate building two miles away



from the manufacturing facility or a head office, it wouldn't be necessary to create a separate post-it note for the warehouse. If the products require a cold

chain and are warehoused regionally in order to be closer to the point of sale, then it should be listed separately. If you're unsure, create the additional post-it note and then see if the additional detail adds value when you lay the map out in Step 3.

Don't worry if it's unclear whether a particular Place is more about "selling" a product or "marketing" a product, as it ultimately doesn't matter how it's labeled. The categorization is simply a way to help guide brainstorming and ensure that all key Places are surfaced.

Places involved in *making the product* are those involved in coordinating, manufacturing, assembling, packaging, and storing a product. Examples include the venture's head office, an outsourcing partner's factory, and a regional fulfillment center. Be sure to think about any places involved in the delivering an offering's service

components, such as call centers fielding technical support questions.

The goal is to identify *key places* impacting how a venture manages its **key business flows**

Places involved in *selling the product* include those involved in getting the product to the customer and getting money back. Examples include a distributor partner's office, wholesale outlets, retail outlets, online retail sites, and banks and payment platforms.

Places involved in *marketing the product* are those where advertisements and information about the product are disseminated and consumed by potential customers. Examples of places that disseminate marketing messages include online sites, radio, television, and newspapers. Places where marketing messages are consumed include homes, conferences, and central markets.

Places involved in *using the product* are the locations where users are accessing and employing the product. Business-to-business products will typically be used in the company or an organizational setting, as in the case of schools. Consumer-facing products will often be used in the home. For products like mobile phones and motorbikes that are used in various places, it's fine to use the "home" as a catch-all site, unless there is another dominant place of use (e.g., place of work).

Reflect on the different places that your venture will touch. Write each place's name on a sticky note and set to the side.



Step 2: Identify key business flows

Step 2 focuses on the "what" part of ops maps. It consists of creating color-coded post-it notes of key flows involving Product, Information, and Money. As with People and Places, each post-it should identify only one particular unit or component of a Product, Information, or Money flow.

Product Flows

Product Flows deal with the various **components of an offering** delivered to the end-user. The objective is to deconstruct an offering into the different things that a customer gets in order to be sure that the venture takes into account the activities and staffing needed to make and deliver everything. Almost all offerings are made up of multiple components, even in the case of a product as seemingly "self-contained" as a pack of chewing gum.

In order to deconstruct an offering, I've found it helpful to think about three kinds of product components based on the role they play in delivering a customer experience. Product components can be either **core**, **support**, or **enabling**. Note: sometimes a component may straddle these categories. Again, don't worry about that, as it doesn't matter what you label a product component—the

important thing is to have identified the component in the ops model.

Core components are the things that deliver the primary product benefits to the customer. Think of them as the items listed under the “contents inside” label on a product’s packaging.

The **core components** of physical products tend to be more intuitive, as they quite literally “come in the box.” A cell phone’s core components, for example, would include the phone, the charger, and the battery. In the case of a laundry detergent, the core component may consist of a sachet with 250 grams of detergent.

To identify core components of digital products, particularly in cases where access to digitized information is structured as monthly memberships or is sold in large chunks such as an entire course, it’s helpful to think in terms of an underlying unit of product that is sold and used: a single song, a movie, a video lecture, etc.

With services, core components are the main work streams that are performed for the client. A landscaping service, for example, could be broken into weeding, mulching, and lawn mowing.

Only list out individual core components if they require some form of separate handling or dedicated logistics post-manufacture. In other words, it’s not necessary to list out the different ingredients in a detergent



(e.g., whitener, softener), as they come to the user as one integrated product and don’t require separate packaging, supply chain partners, or support.

Support components are the additional elements of an offering that make up what marketers call a customer’s “whole product experience.” Support components include things like after sales service, call center support, warranties, loyalty awards, and online user communities. The earlier-mentioned packet of chewing gum likely has a toll-free user hotline, and—if it’s a newer brand targeting a younger generation—may also have a Facebook page where customers can post pics of themselves blowing bubbles. Both are examples of support components.

Enabling components include things the customer needs to have in order to access a product and its benefits. A product activation code and a user manual are examples of enabling components for tangible products. For digital products, examples include key codes, USB sticks, and CD-ROMS.

Information Flows

Information flows are any data and messaging that move among People and Places in the course of making or marketing the product. Information flows be divided into production-related information, and marketing-related information.



Marketing-related information is information directed at target customers to make them aware of the product and stimulate purchase. Marketing information includes things like advertisements in newspapers and radio, online ads (e.g. Google, Facebook), megaphone miking, and product demonstrations. This will be the most common type of information flow.

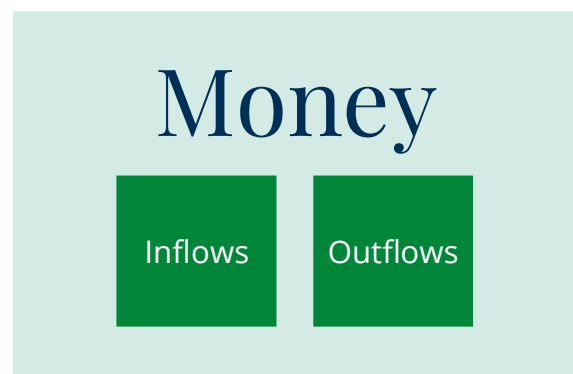
Production-related information flows are critical data that move from the customers and value chain partners back to the venture in order to let the venture know what to make, when to make it, and how much to make. In many cases, production-related information flows happen naturally and don't necessarily need to be highlighted in the map. For example,

customer invoices often provide the required information to determine when more stock is needed. Mapping this particular information flow would be unnecessary, as it is a routine function that is already built into standard sales practices.

Do call out and capture any product-related information that is critical to operations and may require special effort to capture. Wal-Mart, for example, has sophisticated data terminals in its stores to track real-time customer inventory, as an efficient supply chain is the company's key competitive advantage.

Money Flows

Money flows are the exchanges of money taking place among the People and Places in the business ecosystem. From the venture's perspective, it includes both money received (sales), as well as money paid out (expenses). Examples include bulk sales to intermediaries (e.g., case sales to distributors), unit sales by retailers, commissions to sales agents, and margins to sales partners.



Thinking about the various money flows before mapping the venture can be a bit challenging. You may also not have specific amounts or set percentages. If that is the case, simply put a “\$” sign on the sticky note with any supporting info, such as the unit of pricing and the cost or percentage range.

The objective now is to simply highlight where money is coming in and going out. Your bottom-up financial modeling exercise will put actual numbers to these flows, which can then be added back into an ops map at a later date to visually show how a dollar of sales is divided up among the various partners, suppliers, and vendors in the business ecosystem.

Step 3: Map the business flows and bracket the units

Step 3 creates the visual map of the venture’s operations. The process begins by book-ending the map with the venture’s head office on one side and the end user’s home on the other. The Places and People are then populated together with the key Business flows, and lines are drawn to represent their movement.

Starting Out

To begin the mapping process, it’s helpful to get the head and the tail of

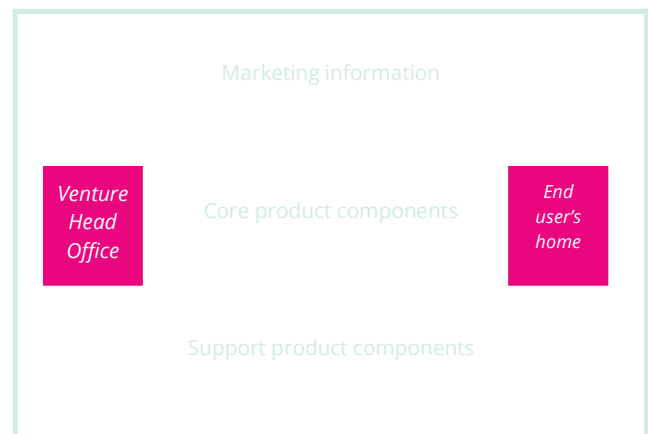


Figure 3: the start of the mapping process showing the three levels

the map in place. The head of the map is the venture head office, and the tail the end user’s home – two of your Place sticky notes. Put the venture head office sticky note on the far left, and the end user’s home on the far right. Then, adhere all People sticky notes associated with the end user’s home – any customers, users, and enablers.

With this as your starting point, the easiest way to systematically map the rest of the People, Place, and Core Business Flows sticky notes is to work from the tail back to the head. Start by tracing the movement of Product, then Information, and finishing with the movement of Money. We go in this order as Product will entail the majority of all flows and involve the greatest number of Places and People in your map. We do Information flows next, as these need to be completed to complete the Money flows, as there are often external entities (e.g., Google,

Facebook) that need to be paid for disseminating marketing messages.

To keep the map visually clear, I've found it helpful to divide the map into three levels, or thirds. The middle third of the map contains Places and People associated with the movement of Core Product components. The lower third is reserved for Places and People involved in movement of Support Product components. The upper third holds Places and People associated with Marketing Information flows. Key Production Information will move between the actors in the middle and lower levels, while Money flows will occur among Places and People across all three levels.

As you place the sticky notes with the various Business Flows, draw colored lines/arrows connecting the two Places and People involved in the flow. For visual clarity, it is best to match the color of the arrows with the color of the sticky note used for the flow. The arrow should point to the Place or People on the *receiving end* of the flow. For example, marketing information received by the customer would have an arrow going from the entity (the Place) responsible for disseminating

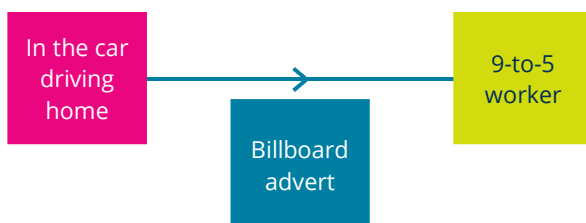


Figure 4: example of the flow of marketing

marketing information to the customer.

The one exception to this is when a customer or end user travels to a Place where they receive Product or Information. In this case, it's important to visually show that the customer is physically moving to the Place. To represent this dual movement, draw a

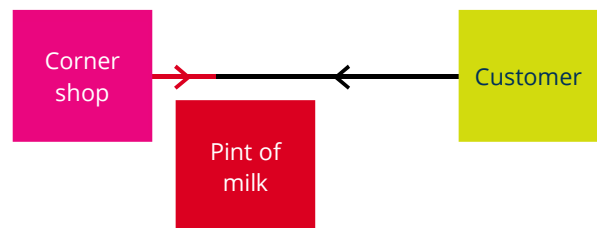


Figure 5: a customer moving to a Place

black arrow from the customer to the Place, stopping just short of the Place. Draw a second, colored arrow that connects the Place to the black arrow.

Another helpful visual technique is to use a dashed line if the flow moves digitally, and a solid line if the flow moves physically.

Lastly, keep the Place and People sticky notes spread out as much as possible to make room for the business flows and the connector arrows. You can also wait to draw the arrows until after all sticky notes are in place, so you have

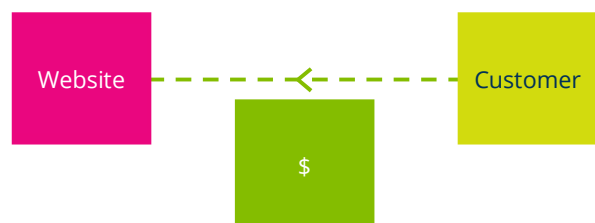


Figure 6: a customer making an online purchase

flexibility to move things around as the map is populated.

Movement of Product

The flow of Product is the most complicated of the three business flows. In tracing the flow of Product, I recommend starting with Core components, then doing Support components, and finishing with Enabling components. This order is more intuitive, as it generally aligns with the components' degree of importance in the offering (i.e., a package of detergent, a Core component, would be a more critical part of the offering to the customer than the call center support, a Support component).

To trace each component from the end user's home back to the venture head office, talk through first where the component is Used, then Sold, and finally Made (three of the four types of Places discussed above). So to begin, ask yourself where the end user actually uses the product component. Attach the relevant Place sticky notes and any associated People sticky notes (i.e., Customers and Enablers). If the user has to travel somewhere to use the product, indicate that on the map with a black arrow from the home to the Place of use.

To trace each component from the end user's home back to the venture head office, talk through first where the component is

*Used, then Sold,
and finally Made*

Once completed, ask yourself where the user bought the product—that is, the Place/s where the product was sold to them—and attach the relevant Place and People sticky notes. If there are additional intermediaries, put up the Places and People that sell the product to this seller.

The final Place and People sticky notes that go up are for those involved in making the product. This should include, at the very least, the venture head office. Follow this pattern until all of the product components are placed.

Note, when there is a sequential movement of product, the newest Place sticky note is adhered to the left of the prior one. For example, if a retailer buys the product from a distributor, the distributor sticky note should sit to the left of the retailer. If

there are two distinct places where the same transaction can happen, as in the case of there being two separate retail sales channels, adhere these

places one above the other.

Finish by connecting up the Places and People involved in the flows using the appropriate color and type of arrow.

Movement of Information

Mapping Information flows are considerably less complicated. I

recommend starting with Production Information, as it relates directly to the just-concluded mapping of Product flows.

Attach sticky notes with key Production Information required by any of the Places and People on your map involved in Making or Selling the Product components. Talk through in detail what is needed to make the product to help surface any potential partners or vendors that may not already be captured among the Places. For example, a bank may require personal credit information from a credit agency in order to issue a loan to a customer. The personal credit information would be an example of key Production Information that should be reflected on the map, as it will also entail a Money flow.

To begin mapping the Marketing Information sticky notes, ask yourself where the user would be when they hear about or learn about the product (e.g., in the home, on a highway billboard), and if there are any platforms or technologies needed to get the information (e.g., television, cell phone). If there are required technologies, this can be indicated on the sticky note with the Information flow.

Be sure to consider all the potentially distinct marketing information needs

of the various Places and People involved in getting the product from the venture head office to the end user. For example, in the case of a venture that uses a franchise model to replicate, there may be one type of marketing messages going to potential franchise owners, and another to the end users of the franchisees' products.

Finish up the Information flows by connecting the Places and People using matching colored arrows.

Movement of Money

Finish the ops map by capturing all of the key money transactions that take place among the Places and People in the map. It's easiest to start the process by re-tracing the movement of Product components, as there is generally an exchange of money with each movement of a component, with money typically moving in the opposite direction of the product. So whereas a customer will receive a product from a retailer, the retailer will receive money from the customer.

Note that some product component flows, particularly Support components like technical service,

may not result in any money flows if the activity is managed by the venture. If a Support product is provided by an external provider, such as a third-party call center, then there would be a money transaction.

Ask yourself where the user would be when they hear about the product

With Marketing Information flows, money is less likely to move between the Places and People involved in the actual Information flow. Rather, money will more likely move from the venture head office (or another downstream Place that sells the product to the end user) to the Place involved in making and disseminating marketing messages.

Flows involving key Production Information may not involve any exchange of money, as in the case when the exchange happens between different levels of the venture itself. The real-time data that moves from a Wal-Mart store to a Wal-Mart central distribution center doesn't result in the flow of money. In other cases, as in the earlier example of a bank receiving personal credit report from an external credit rating agency, money would be exchanged.

As with prior steps, use color-coded arrows representing the flow of Money between Places and People.

Bracketing the Operating Units

With People and Places accounted for and the Business Flows mapped, the operating units can now be delineated. As explained in the introduction, operating units are levels of business operations, where each level up assumes responsibility for a broader

scope of operations that enable the activities of multiple units in the level immediately below it. The objective of marking off the different level of operating units is to provide a clear picture of the overall structure of the venture at scale and, thus, an understanding of how the venture would grow and expand from a single last-mile operating unit.

The easiest way to mark off the operating unit levels is to work right to left, starting with the last-mile operating unit responsible for sales and service to the end user. The last mile operating unit will include at a minimum an area

The easiest way to mark off the operating unit levels is to work

right to left

containing the end-user's home and the entity that conducts the sales transaction with the end user. As discussed in the introduction, if the entity responsible

for the sales transaction is a stand-alone micro-entrepreneur working on commission (rather than a paid employee), it's probably more meaningful to move up one level and make the last mile operating unit the sales entity supporting a larger territory serviced by the micro-entrepreneurs. In other words, treat the micro-entrepreneurs as sales representatives rather than independent agents.

The decision about what else to include in the last-mile operating unit depends

on whether there are any other Places/People serving a territory or customer base of the same size as the entity responsible for the sales transaction with the end user. Consider the Place/People providing Core or Supplementary Products to the end user or to the Place/People conducting the sales transaction with the end user. For example, if a different entity is responsible for providing repair and after-sales service for a product – a washing machine, for example – and that entity covers the same size area as the retailer/seller of the washing machine, then they should also be included in the last mile operating unit.

Ask the same question about Information – in other words, are any of the Places/People involved in providing information to the end user or to the Place/People conducting the end user sales transaction serving an area of the same size? For example, local radio stations or local newspapers may have the same coverage areas the entity conducting sales transactions with the end user.

Once you've decided the People and Places to include in the last mile operating unit, draw a black box around them. If you are able to specify the size of the area and/or the number of end-users reached in the last-mile operating unit, include that information on your map inside of the box.

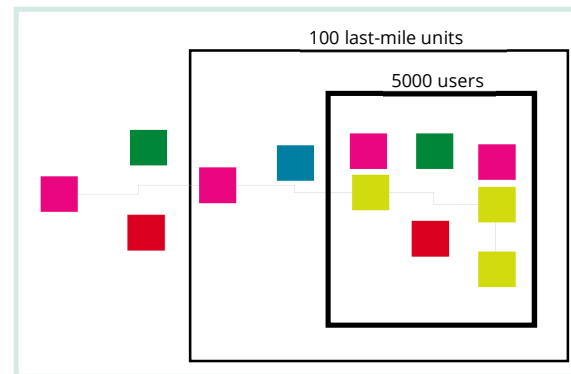


Figure 7: bracketing the operating units

To determine where the next, higher-level operating unit exists, move upstream to the next People/Place outside of the last-mile operating unit involved in Product flow. Consider the size of territory that it would serve, or the number of last mile operating units it would support – whichever is easier or more intuitive. As with the last-mile operating unit, consider if there are other Places/People involved in any other product or information flows that are also operating at the same scale. Draw a black box around this higher-level operating unit once completed, being sure to include the last-mile operating unit within it. Indicate the number of last-mile operating units contained within this higher-level operating unit.

Continue this pattern until you've accounted for all Places/People on your map. Note, you do not need to put a box around the final/highest level of operating unit, which will always include your venture head office.

As discussed in the introduction, the number of operating unit levels that a

venture will have depends on a host of factors, including the size of the geography targeted (the larger the geography, the more operating unit levels typically required), whether the product is digital or physical (digital products will typically require fewer levels of operating units), the degree of end-user interaction required to deliver the offering and drive sustained adoption of the product (the more face-to-face interaction required, the more operating unit levels typically required).

Step 4:
Assign Human
Resources

Step 4 is to visualize the staffing requirements needed to support the flow of Product, Information, and Money. This part of the mapping exercise is

intended to probe the business model behind the venture, and to force a careful examination of the kind of activities the venture will need to conduct, and the staff who will perform them. While it will not be practical to detail the activities and staffing required for all flows, particularly for those that are managed by partners, the greater the level of detail and analysis generated, the more likely that key business constraints and pinch points will be surfaced. Lastly, note that insights on business activities and

staffing will also feed into the calculation of Total Running Costs in the bottom-up financial model.

Unlike the mapping process, the best way to work through the activities and staffing is to start from the venture head office, tracing the business flows down to the end user. Work through the product and then information flows, finishing with money flows. Remember that the objective is to consider operations when the venture is at scale.

For each flow, ask yourself three questions:

1. What are the **key activities** that need to happen to move this flow to/from the entity on the other end?
2. Who would **perform** this activity?
3. Who would **support** this activity?

For example, in order to move a Core Product from the head office to a regional distributor, the key activities at-scale may involve visiting current distributors every two weeks to check their stock and take orders, and then shipping those order from the head office's warehouse to the distributor's facilities. It's also important to remember that, even at scale, there will be turnover in distributors. Thus, a third key activity may involve doing recruiting visits to new potential distributors. Write each of the key activities on a sticky note and put them up on a flip chart.

Next, on another sticky note, write the staff position that would be directly responsible for performing each activity. Place the sticky note above the respective activity. It's likely that there is more than one activity for all staffing positions. In that case, simply place all activities under the relevant staff position. In the example above, an account manager may be responsible for regular distributor visits and for recruiting new distributors. A logistics manager may be responsible for shipments to distributors.

Lastly, consider the staff positions that would indirectly support an activity. There are two types of indirect support positions: administrative support and managerial support. Administrative support helps with executing a task, while managerial support provides strategic direction and oversight. In the example above, the account manager may be supported by an administrative assistant tasked with data entry. The account manager may also report to a sales manager tasked with ensuring sales targets are met. Write each staff position on a sticky note and place above the staff person they would support.

Follow this same questioning pattern for each of the three flows. By the end, you should have a list of all key activities and staff required to credibly ensure the venture can operate at scale. This information will feed into the bottom up financial model and

provide the basis for calculating the venture's at-scale human resource costs. The staffing and activity information can also be summarized and included on a second slide of a pitch deck or in a business plan to provide more granular information about the venture's at-scale operations.